

**2016**  
**MBA**  
**3rd Semester Examination**  
**FINANCIAL SERVICES**  
**(Specialisation : Financial Management)**

**PAPER—F-302**

*Full Marks : 100*

*Time : 3 Hours*

*The figures in the margin indicate full marks.*

*Candidates are required to give their answers in their own words as far as practicable.*

*Illustrate the answers wherever necessary.*

1. Answer any *eight* questions from the following : 8×5
- (a) What do you mean by Factoring Services ? Briefly discuss the process of factoring services.
  - (b) Discuss the factors that affect assignment of credit rating of a security.
  - (c) Briefly discuss the role of IRDA in promoting insurance services.

*(Turn Over)*

- (d) Briefly discuss the important functions rendered by a Merchant Banker.
- (e) Write a short note on 'Underwriting activity' as an important function of a Merchant Banker.
- (f) Is factoring a short-term source of finance ? — Explain briefly.
- (g) Distinguish between financial lease and operating lease.
- (h) What do you mean by 'Venture Capital' ? How it differs from 'Private Equity' ?
- (i) Explain the credit rating process of CARE.
- (j) Distinguish between Factoring and Forfeiting.
- (k) Discuss the important services provided by a factor.
- (l) Credit Rating does not provide any guarantee regarding the overall financial health of a company — discuss.

2. Answer any *four* questions from the following : 4×10

- (a) (i) A manufacturing firm has a total sales of Rs. 200 lacks of which 70% is made on credit. The firm sells on terms 3/20 net 45. On an average, 20 per cent of the customers pay on the 20<sup>th</sup> day and the remaining customers pay, on average, 70 days after the invoice

date. The past experience indicates that bad-debt losses are around 2% on credit sales. The firm spends Rs. 250000 on administering its sales which include salaries of an officer and two clerical personnel who handle credit checking, collection etc. A factor is prepared to buy the firm's receivables by charging 2.5% commission. In addition to that, the factor will charge a commission of 2% for bearing credit risk. The factor will pay advance to the firm at an interest rate of 18% after withholding 20% as reserve. Presently, the firm borrows from the State Bank of India for its working capital requirement at 15 per cent interest per annum.

Evaluate the factoring proposal.

- (ii) Briefly discuss the process of forfeiting services in India. 6+4

- (b) Discuss the rating methodology followed by CRISIL.

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- (c) (i) What does 'investment nurturing' mean ? What are its objectives ?

- (ii) Describe the different styles of investment nurturing.

(2+4)+4

- (d) (i) Write short notes on two different types of mutual fund — Index Fund and Leveraged Fund.
- (ii) Briefly discuss the role of Asset Management company for managing the portfolio of mutual fund institution. 6+4
- (e) (i) What is reinsurance ? State the different types of reinsurance.
- (ii) Briefly discuss the role of insurance in economic growth. 6+4
- (f) (i) Discuss the various stages of Venture Capital Financing.
- (ii) How do we determine the value of a Venture Capital Institution by considering First Chicago Method of Valuation ? 5+5

**[ Internal Assessment : 20 ]**

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